Tech Majors are Racing Towards Net-Zero – What About You?

Apple, Microsoft, Amazon, Google, Infosys, Wipro—global and Indian firms are heading closer to achieving net-zero emissions, a mandate to combat climate change. Here is what you need to know to start your journey...

While it is important to be conscientious year-round, the end of every year has a way of awakening the do-gooder in every CXO who has been busy chasing corporate goals. Many of you are probably charting your social and environmental responsibilities for the coming year, and if you are, make sure to include well-defined efforts towards achieving net-zero emissions, because it is no longer a choice!

The Paris Agreement, a legally binding international treaty adopted in 2015, aims to limit global warming to below 1.5°C. To achieve this, emissions need to be reduced by 45% by 2030 and reach net-zero by 2050. While many tech majors, including Apple, Google, Microsoft, and Indian players like Infosys, have taken up the challenge full-on and hope to go net-zero within the next decade, many companies are still lax in their efforts, and some have hardly given it a thought. Here are some details that will set you thinking and help you plan your course of action.

Carbon footprints in the sands of time

Carbon footprint is the total amount of greenhouse gases (GHG) emitted by an entity (a product or an organisation), including both direct and indirect emissions. From a company's perspective, these emissions are broadly classified as scope 1, 2, and 3. Scope 1 refers to emissions from sources owned or controlled by the company. This includes emissions from their products, vehicles, or furnaces, as well as from their manufacturing facilities. Scope 2 refers to indirect emissions from purchased energy, that is, fuel burnt somewhere to supply the energy they use from the grid. Scope 3 refers to indirect emissions that happen across the company's value chain, both upstream and downstream, such as emissions during the extraction or production of materials bought by the company, energy used by resellers in their showrooms, emissions due to the use of the company's products by end-users, emissions during their end-of-life disposal, and so on.

Scopes 1 and 2 are under the highest scrutiny. In some countries, companies are required to report their scope 1 and 2 emissions and may also have to pay a carbon tax. Scope 3 is more complex because it involves many entities not under your direct control, making it